

THE LINE 'DESIGNED by Apple in California, Assembled in China' that appeared on the iPhone packaging for years has been joined by Designed by Apple in California, Made in India.

The change in text is an affirmation as much of Apple's rapid growth in India as the country's own emergence as a mobile-phone manufacturing powerhouse.

Apple, based in Cupertino in Silicon Valley, has taken less than 10 years to stamp its presence in India. It commenced manufacturing iPhones in India in 2017, when Taiwan-based contract manufacturer Wistron started assembling the low-cost iPhone SE locally.

And it made a technological leap in 2024 when it started producing the top-tier Pro Max model in India. Just a year later, India had become so central to Apple's supply chain that it airlifted 1.5 million iPhones, weighing 600 tonnes, from India to the US to front-run import tariffs imposed by President Donald Trump.

"Apple has played a pivotal role in accelerating India's electronics manufacturing ecosystem. Its expansion has attracted suppliers, strengthened local manufacturing capabilities and improved quality standards," says Prachir Singh, Senior Research Analyst at Counterpoint Research.

"Apple's growing exports have also enhanced India's credibility as a global manufacturing destination, encouraging more multinational companies to consider India as part of their supply-chain diversification strategy," he adds.

Apple's rapid growth was aided at least in part by Indian policy support. Apple did not respond to requests for comment for this story.

TECHNOLOGICAL LEAP

From a net importer of mobile phones in 2014, India has become the world's 2nd-largest manufacturer and a major export hub

Roughly 99% mobile phones used in India are made locally

Mobile phones emerged from the 153rd largest export in FY15 to the largest export in FY26

Production-linked incentive Scheme for Large Scale Electronics Manufacturing attracted over ₹20,600 crore with cumulative production crossing ₹11.62 lakh crore as on March 31, 2026

Apple reportedly makes 25% of iPhones in India

A five-year Mobile Phone Manufacturing Scheme, with a total budgetary outlay of ₹62,500 crore, approved to boost domestic production till FY31

THE ERA OF IMPORTS

Until 2014, most domestic brands were sourcing handsets from China. Chinese smartphone makers too were expanding aggressively in the Indian market. "In 2014-15, about 80% of the Indian smartphone market was fed by imported products," recalls Pankaj Mohindroo, Chairman of the India Cellular and Electronics Association (ICEA).

For the world's third-largest smartphone market at the time, continuing on this path meant an ever-expanding import bill.

Policymakers recognised that if

India wanted to become a global manufacturing powerhouse, electronics, mobile phones in particular, had to be the starting point. They also knew they could not replicate China's ecosystem overnight.

After all, China had spent decades building an integrated network of component suppliers, contract manufacturers, logistics networks and semiconductor facilities. India chose a different strategy: building the ecosystem one layer at a time.

CREATING AN ECOSYSTEM

"When you create an ecosystem, then it starts with multiple layers. For instance (in electronics manufacturing), you first start with assembly, then you get into manufacturing, and then you start getting into the components, and then the design will come," says Rahul Sharma, co-founder of Bhagwati Products Ltd, an electronics contract manufacturer.

In FY15, India introduced a differential duty structure to encourage domestic assembly and discourage import of Completely Built Units (CBUs). As a result, some 37 companies started smartphone assembly in India before mid-2016.

"We first instituted the differential duty, which kicked in during 2015. There was a differential of about 11% between imports and domestic assembly," says Mohindroo.

Then came the Phased Manufacturing Programme (PMP) in 2017, which aimed to drive component localisation starting with basic, easily reproducible accessories. Import duties were gradually levied on key parts such as phone chargers, batteries, cables, mechanical housings and